UNPAID INTERN

Starting my AI business in Scotland

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THE BUSINESS

An AI intern on your phone for the jobs nobody has time for: letters explained in your language, Companies House deadlines, unpaid invoices, wrong fees, websites and grants. Students get their own section. A jury checks every answer and shows its source. Nothing is sent without you.

MY OPTIONS IN SCOTLAND

Sole trader: simplest, but I'm personally liable for everything.

Partnership: a legal person in Scotland (Partnership Act 1890, s4(2) (in Scotland a firm is a legal person distinct from its partners)), but needs two people, and the partners stay liable.

LLP: needs two or more members (Limited Liability Partnerships Act 2000, s2(1)(a) (two or more persons must subscribe the incorporation document)).

CIC / SCIO: for community and charity purposes, not a profit-making app.

MY CHOICE **Private limited company (Ltd):** a separate legal person with limited liability. **My choice.**

YEAR-ONE COSTS

Incorporation £100 · Confirmation statement £50 a year · ICO £52 a year · Trade mark £205 (one class)

MY CHOICE

My choice: Unpaid Intern Ltd

Salomon v A Salomon & Co Ltd [1897] AC 22 (a company is a separate legal person from its members).

1. Protects my home and savings if the business is sued or owes money.
2. Ready for investors through shares.
3. Businesses trust a registered Ltd with their files.
4. Works with one person as the only director and shareholder (Companies Act 2006, s154(1) (a private company must have at least one director)).

The price of a Ltd, directors' duties: Companies Act 2006, ss171-177 (act within powers, promote the company's success, use independent judgment and reasonable care, avoid conflicts).

SETTING IT UP

1. Check the name: Companies House and the UK trade mark register.
2. Verify my identity with Companies House (required since 18 November 2025).
3. Incorporate online: £100.
4. Register for Corporation Tax within 3 months of starting to do business.
5. Business bank account.
6. ICO data protection fee: £52 a year.
7. Privacy notice and terms.
8. Company details on the website (SI 2015/17, regs 24-25 (a company must show its name and registered number on its websites)).
9. Later: VAT over £90,000 turnover; PAYE and employers' liability insurance before hiring.

RUNNING IT: THE LEGAL CHALLENGES

Data: AI services read clients' files only on my instructions. UK GDPR, Article 28(3)(a) (a processor acts only on the controller's documented instructions).

AI mistakes: *Hedley Byrne & Co Ltd v Heller & Partners Ltd* [1964] AC 465 (a duty of care can arise for careless statements relied on), so every answer shows its source and the user approves.

Customers: a 14-day right to cancel online subscriptions (Consumer Contracts Regulations 2013, reg 29 (a consumer may cancel a distance contract within the cancellation period)).

Restricted advice: Ollie only explains immigration letters. Immigration and Asylum Act 1999, s84(1) (only qualified people may give immigration advice); Immigration and Asylum Act 1999, s91(3) (a director can be guilty too).

"Don't worry about the National Minimum Wage Act 1998, s1(1) (qualifying workers must be paid at least the minimum wage). This intern is software. It doesn't need money; it needs your time."

Scan for the full website and the working app.



https://shahkarkhan.uk/unpaid-intern/

Information for a class task, not legal advice. Fees checked 6 November 2026.